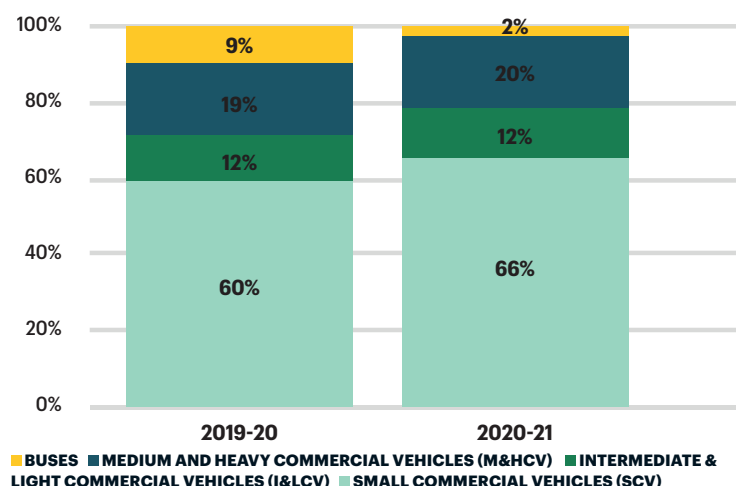


SMALL IS BIG

Small commercial vehicles continue to dominate the CV market



SOURCE: LEAP TRUCKS

of the government's infrastructure push.

Tata Motors, too, believes that government initiatives will play an integral role in the growth of the CV sector. The scrappage policy, for example, will be critical for the entire commercial vehicle business, Wagh says. "Subsequently, the recently announced Gati Shakti project along with the government's heightened focus on infrastructure projects, and fiscal support for capital expenditure to state governments will boost the demand for M&HCVs. The government's performance-linked incentives (PLI) scheme is another crucial element that will prove vital for the overall CV sector and its growth prospects," he adds. "With 27 per cent growth in volumes in FY22 over FY21, and the positive drivers, we expect the industry to continue on the growth curve." Wagh expects the SCV&PU (small commercial vehicles and pick-ups) segments to do well on the back of strong demand from the agriculture, dairy and poultry sectors, as the sentiments continue to gradually improve.

BUSES TO LEAD TRANSITION TO ELECTRIC

The government is keen to accelerate the transition towards sustainable transporta-

tion, and CV makers believe that buses are in the best position to go electric. Electric buses are already gaining traction in public transport. "Today, more than 650 Tata Motors e-buses are running on Indian roads, which have cumulatively run more than 25 million km. We believe there is strong potential for growth," says Wagh. CRISIL's Sharma expects EV penetration to be led by buses (due to state transport purchases) and LCVs used in intra-city goods movement, but doesn't expect EVs to drive overall CV growth.

In the case of last-mile distribution, too, there is an increasing demand for electric SCVs, as many e-commerce companies are aiming to shift to zero emission fleets and reduce their logistics cost. "This is another segment wherein the government is pushing for increased penetration of EVs to reduce emission levels in cities and promote eco-friendly, noise-free electric vehicles. NITI Aayog has already launched the 'Shoonya' campaign to accelerate adoption of EVs in the urban deliveries segment and create consumer awareness about the benefits of zero-pollution delivery, and Tata Motors is actively supporting these initiatives," Wagh says. Electrification, he adds, will provide unique growth opportunities even in commercial vehicles, as more and more segments/applications will start becoming attractive for EVs as the battery prices progressively decline over the coming years, and the supporting infrastructure keeps on improving.

According to ICRA, too, first the bus segment will be electrified followed by other segments. "Electrification would first gain traction in the bus segment, before spreading in the goods carrier segment. Within the bus segment, the traction has started with SRTUs (state road transport undertakings), which are able to take the benefit of FAME II subsidy. Multiple tenders are being floated by various state transport undertakings, and induction in certain cities has already started," says ICRA's Srikumar.

VECV's Aggarwal says the next two to three years will be crucial for the CV segment to realise its true growth potential: "We've already gone through the recession cycle; now it's time for the recovery cycle." **BT**

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